Daily Systems bot

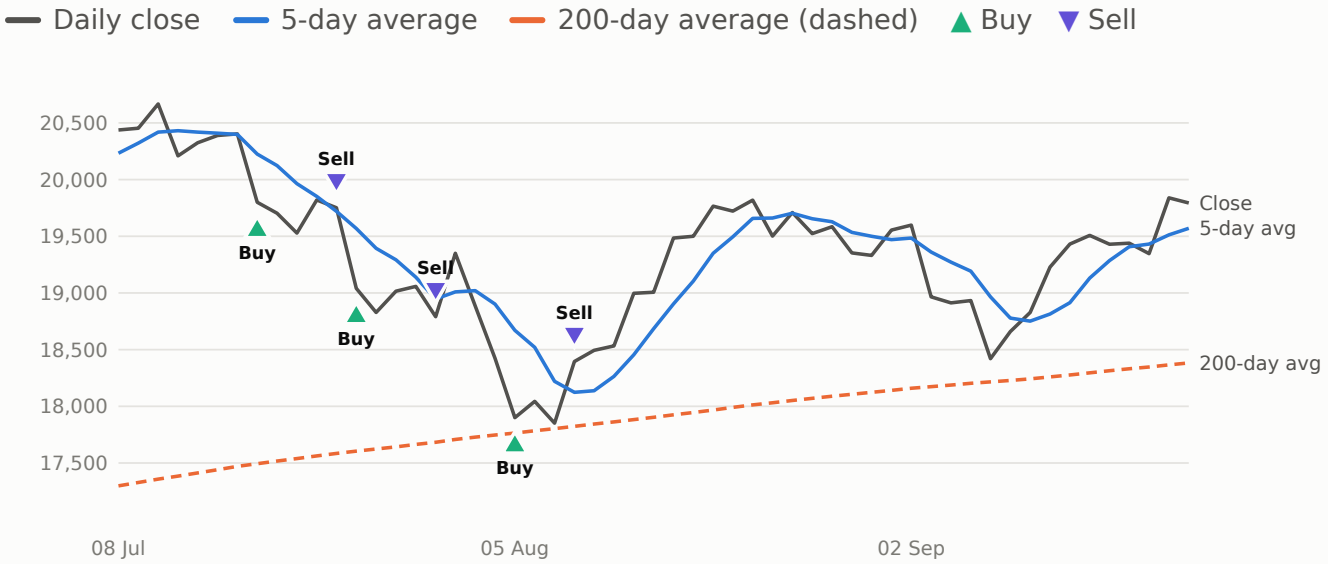
Two "buy the dip in an uptrend" strategies, run separately on US500, US100, US30, GER40 and gold. Buy trades only.

A. Pavel's mean reversion

Buy at the daily close when all three are true:

1. The close is below its **5-day average**.
2. The drop below that average is unusually large: more than **2.5 times** the average gap of the last 20 days.
3. The close is above its **200-day average** (long-term uptrend).

Sell at the first daily close back above the 5-day average, or after 4 days, whichever comes first.



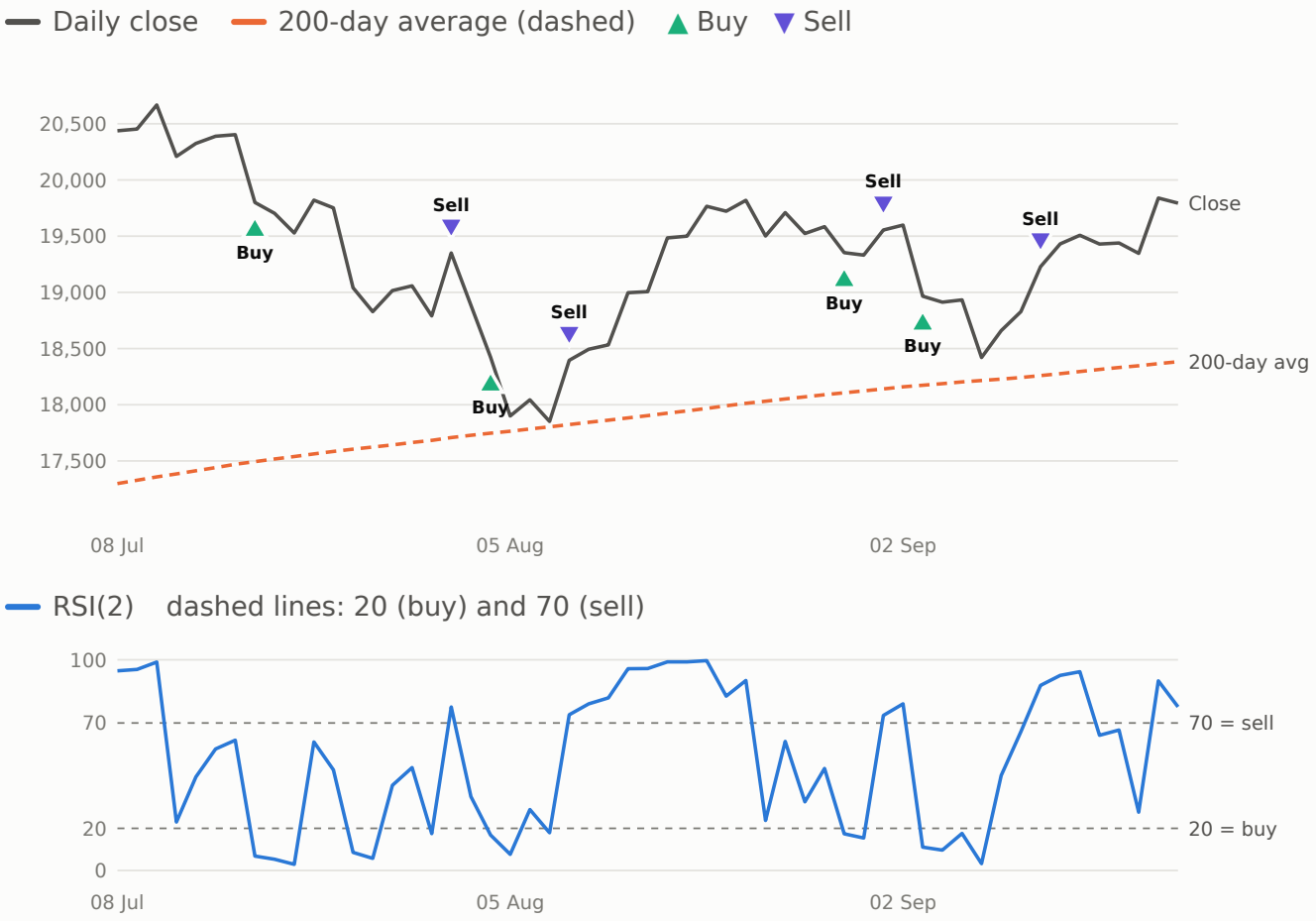
Example: NAS100, July - September 2024 (from our price data). The early-August sell-off: sharp drops below the blue line trigger buys; the first close back above it is the sell.

D. Naoufel's RSI(2)

RSI(2) scores the last two days' moves from 0 to 100. Below 20 means a sharp two-day drop.

Buy when RSI(2) is below 20 and the close is above its 200-day average.

Sell when RSI(2) rises above 70 (the bounce has happened), usually 2-5 days later.



Same period. Each dip of the RSI line under 20 is a buy; the next rise above 70 is the sell.

Stop loss and take profit

- **No fixed take profit.** The sell rules do that job: each trade closes once the bounce has happened.
- **Emergency stop loss** on every trade: 3 x the average daily range of the last 20 days below the entry, usually 4-6% away. A safety net, not the normal way out.

Size: "Notional per position" = $13,000

Notional is the **value** of the position, not the amount at risk. $13,000 moves about **$130 for every 1%** the market moves (US500 at 6,500 = 2 units). At this size: average win about +$160 to +$220, average loss about -$270 to -$300, emergency stop about -$500 to -$800.

Timing and safety

- Decisions use the daily close; orders go in about **11 pm UK time** (one hour after FTMO's new daily bar opens).
- **Daily guard:** down $2,000 on the day = close everything, stop until tomorrow.
- **Size cap:** all open positions together at most 1.5 x the balance.
- **Optional "Flat Over Weekend":** close all Friday 15:30 New York time, reopen Monday with the same size and stop (being tested).

Backtest results ($100k account, $13k per position)

- **Jan 2024 - Oct 2026 (final test):** +$15,924, 73% of trades won, worst drawdown 4.76%, every year positive.
- **Off-switch if live:** back to demo if the win rate over the last 50 trades drops below 62%, or drawdown passes ~7%.

Charts are an illustration from NAS100 daily data; the bot uses FTMO's own daily bars. Full rules: research/DAILY_SYSTEMS_TEST_PLAN.md.